

Second Quarter 2021 Financial Results

August 5, 2021



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Forward-looking Statements

This presentation contains forward-looking statements, which reflect the current views of Zoetis with respect to: business plans or prospects; future operating or financial performance, future guidance, future operating models; expectations regarding products, product approvals or products under development; expected timing of product launches; the impact of the coronavirus (COVID-19) pandemic and any recovery therefrom on our business, suppliers, customers and employees; expectations regarding the performance of acquired companies and our ability to integrate new businesses; expectations regarding the financial impact of acquisitions; future use of cash and dividend payments; tax rates and tax regimes and any changes thereto; and other future events. These statements are not guarantees of future performance or actions. Forward-looking statements are subject to risks and uncertainties. If one or more of these risks or uncertainties materialize, or if management's underlying assumptions prove to be incorrect, actual results may differ materially from those contemplated by a forward-looking statement. Forward-looking statements speak only as of the date on which they are made. Zoetis expressly disclaims any obligation to update or revise any forward-looking statement, whether as a result of new information, future events or otherwise. A further list and description of risks, uncertainties and other matters can be found in our Annual Report on Form 10-K for the fiscal year ended December 31, 2020, including in the sections thereof captioned "Forward-Looking Statements and Factors That May Affect Future Results" and "Item 1A. Risk Factors," in our Quarterly Reports on Form 10-Q and in our Current Reports on Form 8-K. Such risks and uncertainties may be amplified by the coronavirus (COVID-19) pandemic and its potential impact on the global economy and our business. These filings and subsequent filings are available online at www.sec.gov, www.zoetis.com, or on request from Zoetis.

Non-GAAP Financial Information

We use non-GAAP financial measures, such as adjusted net income, adjusted diluted earnings per share, adjusted operating expenses, adjusted gross margin, and operational results (which excludes the impact of foreign exchange) to assess and analyze our results and trends and to make financial and operational decisions. We believe these non-GAAP financial measures are also useful to investors because they provide greater transparency regarding our operating performance. The non-GAAP financial measures included in this presentation should not be considered alternatives to measurements required by U.S. generally accepted accounting principles (GAAP), such as net income, operating income, and earnings per share, and should not be considered measures of liquidity. These non-GAAP financial measures are unlikely to be comparable with non-GAAP information provided by other companies. Reconciliation of non-GAAP financial measures and GAAP financial measures are included in the tables accompanying our earnings release and are posted on our website at www.zoetis.com.

Kristin Peck

Chief Executive Officer

Key Takeaways

Strong Global Growth to Start 2021

- Generated 22% operational¹ revenue growth and 28% operational¹ increase in adjusted net income², led by 36% operational growth in companion animal and 3% operational growth in livestock
- The 36% operational revenue growth in companion animal was driven by strong second quarter sales of Simparica Trio[®], and significant growth across the broader parasiticide portfolio
- Receiving very positive initial customer response in the EU to Librela[®], our monoclonal antibody for alleviation of O-A pain in dogs
- Livestock grew 3% operationally in the quarter, led by sales of our Cattle, Swine and Fish products

Improved Guidance for 2021

- Increased range of full year 2021 estimates for revenue and adjusted net income
 - Revenue range increased to \$7.625B and \$7.700B, with operational¹ growth of 12.5% to 13.5%
 - Adjusted net income range increased to \$2.135B and \$2.175B, with operational¹ growth of 13% to 15%
- Guidance reflects better than expected year-to-date results and continued confidence that the diversity and durability of our portfolio, along with innovation, will continue to drive growth

¹ Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

² Adjusted net income (a non-GAAP financial measure) is defined as reported GAAP net income, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

Wetteny Joseph

Executive Vice President
and Chief Financial Officer

Income Statement Highlights

	Second Quarter		
	2021 [*]	2020 [*]	Change
Revenue	\$1,948	\$1,548	26%
Reported Net Income	512	377	36%
Reported Diluted Earnings Per Share	\$1.07	\$0.79	35%
Adjusted Net Income ¹	566	427	33%
Adjusted Diluted Earnings Per Share ^{1,2}	\$1.19	\$0.89	34%

* Millions of dollars, except per share data

¹ Adjusted net income and adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

² Adjusted diluted earnings per share increase of 34% includes 6% favorable foreign exchange impact, and operational growth of 28%.

Adjusted Income Statement Highlights

	Second Quarter				
	2021 [*]	2020 [*]	Change	Foreign Exchange	Operational ¹
Revenue	\$1,948	\$1,548	26%	4%	22%
Adjusted Cost of Sales ²	565	448	26%	4%	22%
<i>as a percent of revenue³</i>	29.0%	28.9%	NA	NA	NA
Adjusted SG&A Expenses ²	488	372	31%	3%	28%
Adjusted R&D Expenses ²	119	110	8%	3%	5%
Adjusted Operating Expenses ⁴	613	489	25%	2%	23%
Effective Tax Rate on Adjusted Income ²	20.0%	22.3%	NA	NA	NA
Adjusted Net Income ²	\$566	\$427	33%	5%	28%

* Millions of dollars, NA – Not applicable

¹ Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

² Adjusted net income and its components (non-GAAP financial measures) are defined as reported GAAP net income and its components, excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, adjusted research and development (R&D) expenses, and adjusted tax expenses are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure.

³ Adjusted gross margin (a non-GAAP financial measure) was 71.0% in the second quarter of 2021 and 71.1% in the second quarter of 2020.

⁴ Adjusted operating expenses (a non-GAAP financial measure) of \$613 million in the second quarter of 2021, and \$489 million in the second quarter of 2020 include adjusted amortization of intangible assets of \$6 million in 2Q21 and \$7 million in 2Q20.

U.S. Segment Performance

	Second Quarter		
	2021 [*]	2020 [*]	Change
Revenue	\$1,004	\$823	22%
Companion Animal	794	594	34%
Livestock	210	229	(8)%
Cost of Sales	192	154	25%
Gross Profit	812	669	21%
<i>Gross Margin</i>	80.9%	81.3%	NA
Operating Expenses	170	136	25%
Other (Income)/Deductions	1	3	**
Earnings ²	641	530	21%

* Millions of dollars, NA – Not applicable, **Calculation not meaningful

¹ Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

² Defined as income before provision for taxes on income.

International Segment Performance

	Second Quarter				
	2021*	2020*	Change	Foreign Exchange	Operational ¹
Revenue	\$924	\$708	31%	9%	22%
Companion Animal	435	288	51%	10%	41%
Livestock	489	420	16%	6%	10%
Cost of Sales	278	228	22%	5%	17%
Gross Profit	646	480	35%	10%	25%
<i>Gross Margin</i>	69.9%	67.8%	NA	NA	NA
Operating Expenses	147	117	26%	10%	16%
Other (Income)/Deductions	—	1	**	**	**
Earnings ²	499	362	38%	10%	28%

* Millions of dollars, NA – Not applicable, **Calculation not meaningful

¹ Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

² Defined as income before provision for taxes on income.

International Segment Performance

	Second Quarter				
	2021*	2020*	Change	Foreign Exchange	Operational ¹
Total International	923.9	707.3	31%	9%	22%
Australia	69.1	50.8	36%	24%	12%
Brazil	75.7	56.3	34%	(6)%	40%
Canada	67.1	53.9	24%	13%	11%
Chile	33.6	25.4	32%	6%	26%
China	94.2	66.4	42%	12%	30%
France	32.1	23.7	35%	11%	24%
Germany	49.2	40.1	23%	11%	12%
Italy	31.8	14.1	126%	20%	106%
Japan	49.9	52.8	(5)%	(1)%	(4)%
Mexico	33.3	25.5	31%	17%	14%
Spain	33.1	23.9	38%	11%	27%
United Kingdom	43.0	25.5	69%	19%	50%
Other Developed Markets	112.3	90.3	24%	12%	12%
Other Emerging Markets	199.5	158.6	26%	1%	25%

* Millions of dollars

¹ Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

Financial Guidance

Selected Line Items (millions of dollars, except per share amounts)	Full Year 2021
Revenue	\$7,625 to \$7,700
<i>Operational growth</i> ¹	12.5% to 13.5%
Adjusted cost of sales as a percentage of revenue ²	Approximately 30%
Adjusted SG&A expenses ²	\$1,870 to \$1,910
Adjusted R&D expenses ²	\$505 to \$520
Adjusted interest expense and other (income)/deductions-net ²	Approximately \$255
Effective tax rate on adjusted income ²	19% - 20%
Adjusted diluted EPS ²	\$4.47 to \$4.55
Adjusted net income ²	\$2,135 to \$2,175
<i>Operational growth</i> ^{1,3}	13% to 15%
Certain significant items and acquisition-related costs ⁴	\$35 - \$45
Reported diluted EPS	\$4.09 to \$4.19

This guidance reflects foreign exchange rates as of mid-July.

¹ Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

² Adjusted net income and its components and adjusted diluted EPS are defined as reported GAAP net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, adjusted research and development (R&D) expenses, and adjusted interest expense and other (income)/deductions-net are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure. Effective tax rate on adjusted income (a non-GAAP financial measure) equals the adjusted provision for taxes on income (a non-GAAP financial measure) divided by adjusted income before provision for taxes on income (a non-GAAP financial measure). Adjusted net income and its components, adjusted diluted EPS, and the

effective tax rate on adjusted net income, are presented solely to permit investors to more fully understand how management assesses performance. Adjusted net income and its components and adjusted diluted EPS are not, and should not be viewed as, substitutes for U.S. GAAP net income and its components and diluted EPS.

³ We do not provide a reconciliation of forward-looking non-GAAP adjusted net income operational growth to the most directly comparable GAAP reported financial measure because we are unable to calculate with reasonable certainty the foreign exchange impact of unusual gains and losses, acquisition-related expenses, potential future asset impairments and other certain significant items, without unreasonable effort. The foreign exchange impacts of these items are uncertain, depend on various factors, and could have a material impact on GAAP reported results for the guidance period.

⁴ Primarily includes certain nonrecurring costs related to acquisitions and other charges.

Q&A

A man and a dog are sitting in a field of tall grass at sunset. The man is wearing a maroon shirt and is hugging the dog from behind. The dog is a light-colored breed, possibly a Weimaraner, and is looking towards the left. The background is a soft-focus landscape with trees and a small white building with a blue roof. The sky is a warm orange color, and the overall scene is bathed in the golden light of the setting sun.

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